17

An Indian Governor

In 1934, C.D. Deshmukh, the man who would illumine the horizon of the RBI as its first Indian Governor became Finance Secretary to the CP and Berar government, a post he occupied for five years. One of his major contributions at this time, and for which he was rewarded with a C.I.E. in 1937, was the preparation of the memorandum to be submitted by CP and Berar for the purposes of the Niemeyer Enquiry ordered by the government in 1935, to prepare the ground for the greater financial autonomy that was to devolve on the provinces on the enactment of the Government of India Act, 1935. The memorandum was greatly appreciated.

It was also at this time that there were feelers from the Government of India if Deshmukh could be spared for inclusion in the Finance and Commerce Pool of Officers at the Centre. Tentative enquiries were made but the unofficial representatives of the Government of India were told that 'our CD is not for sale.'[1] In 1936, he received special training in the office of the Controller General of Currency in ways, means, and resource work, something which was to stand him in good stead when he joined the RBI a few years later. It was also in this year that he met Sir James Taylor, who had succeeded Smith as the Governor in New Delhi. Taylor, as noted before, was from the CP and Berar but had long been transferred to the Centre where his financial abilities received early recognition.

Deshmukh was also instrumental in helping Vallabhbhai Patel and Pattabhi Sitaramayya in drafting an award for equitable distribution of development expenditure in the annual budget, since CP and Berar was a